



DECISION

Complaint No. : POS/5497/KE-500/24

Name and Address of the Complainant : Mr. Atta Muhammad Memon, r/o Flat No. A-106, Farhan Classic, Block-12, Gulistan-e-Jauhar, Karachi.

Name of the Agency Complained against : Karachi Development Authority (KDA)

Name & Designation of Investigation Officer : Syed Farrukh Habib
Director, Regional Office, Karachi (East)

Subject :- **ALLEGED DELAY IN PAYMENT OF SERVICE DUES TO THE COMPLAINANT WHO RETIRED IN MARCH, 2021.**

THE COMPLAINT

Mr. Atta Muhammad Memon, in his complaint dated 19.11.2024, submitted that he retired from the Karachi Development Authority (KDA) on 31.03.2021 as Superintending Engineer (BS-19) after attaining the age of superannuation. A Pension Book No. 7721 was issued to him with approval from the competent authority. He stated that, despite the lapse of over three and a half years, his post-retirement benefits, including pension contribution, final payment of the General Provident Fund (GPF), encashment of Leave Preparatory to Retirement (LPR), and arrears of residual pension, have neither been calculated nor released. He further submitted that while encashment of LPR was released to 351 retired employees in September 2022, but he was deprived of the same without justification.

2. He added that he approached the competent authorities, including the Official Assignee appointed by the High Court of Sindh, who forwarded his request to the DG KDA, but no response was received. He requested directions for the calculation and release of his outstanding post-retirement benefits, transfer of his pension contribution dues from KMC, inclusion of his name in List-B submitted before the Court, and release of encashment of LPR and other funds in accordance with court orders, stating that the delay has caused him financial hardship.

PROCEEDINGS

3. After admission of the complaint by condoning the delay under Section 10 of the Establishment of the Office of Ombudsman for the Province of Sindh Act, 1991 (as amended up to date), and after receiving the mandatory Affidavit on Form "A" along with other relevant documents, a report was called from the Agency. In response Accounts Officer (Books), Finance & Accounts, KDA vide letter dated 07.02.2025 stated that the post-retirement dues of the complainant, amounting to Rs. 20,84,886/- on account of Contributory Provident Fund and Leave Preparatory to Retirement, have been received for payment. It was further reported that the bill relating to Leave Preparatory to Retirement was received in October 2022, subsequent to finalization of liabilities in September 2022, therefore, the same could not be

processed earlier. It was additionally conveyed that the amount payable towards commutation of pension has yet to be finalized owing to non-transfer of the complainant's share of pension contribution for the period of his deputation in the Karachi Metropolitan Corporation to the Karachi Development Authority, and the same shall be processed subject to receipt of the requisite contribution and availability of funds.

4. Complainant vide his rejoinder dated 24.02.2025 stated that in compliance with the orders of the Hon'ble Supreme Court, he, along with Mr. Abdul Razak Quraishi and Mr. Ali Murad Abro, was repatriated from the Public Health Engineering Department, Government of Sindh, to Karachi Development Authority (KDA) in 2015, and subsequently they retired from KDA. He further stated that while Mr. Quraishi has received all post-retirement benefits, including the Contributory Provident (CP) Fund, Mr. Abro's CP Fund, though calculated, remains unpaid due to insufficient funds and is included in "List B" submitted to the Court without transfer of funds from the Finance Department, Government of Sindh (copy attached). The complainant requested that he be treated equally and his pending dues be processed accordingly; his KMC service contribution of Rs. 321,791 has been transferred to KDA (evidence attached), but KDA has incorrectly calculated his CP Fund at Rs. 715,566, which he requested to be reassessed. He also sought immediate release of all post-retirement benefits, including General Provident Fund, arrears of residual pension, and other outstanding dues, noting that the funds ordered to be released by the Hon'ble High Court of Sindh in CP No. 1051 of 2019 (dated 29.10.2020) have not yet been implemented. He urged this office to help facilitate timely disbursement of his rightful dues.

5. In order to sort out the issue, the investigating officer fixed the case for hearing on 09.04.2025, which was attended by Mr. Sameer Imam, AAO, KDA who stated that in order to resolve the issue of non calculation or wrong calculation of CP Fund (as alleged by the complainant) the officers from A.O Pension and A.O Funds working under the administrative control of Director F&A, KDA needs to be called as well to know on what formula / statistics they calculated the amount.

6. Accordingly, the Director (Finance & Accounts), KDA was called in the hearing held on 13.08.2025. He submitted that the post-retirement dues of Mr. Atta Muhammad Memon, BS-19, Superintending Engineer, Scheme-33, Engineering Department, KDA, have been calculated as under: Leave Preparatory to Retirement (LPR) Rs. 13,69,320 (Rs. 100,000 paid; balance Rs. 12,69,320), Subscription towards Contributory Provident Fund Rs. 7,15,566 (unpaid), and Pension Commutation Rs. 30,21,826 (unpaid), totaling Rs. 51,06,712 with Rs. 100,000 paid and Rs. 50,06,712 outstanding. It was noted that the retiree had expressed doubts regarding the calculation of Pension Commutation, and details provided by the Accounts Officer (Pension), Finance & Accounts, KDA. The Director clarified that the retiree's name cannot be included now in List 'B' as the list was frozen on 20 September 2023; only LPR received before the freeze is included, while Subscription towards CP Fund and Pension Commutation received after the freeze cannot be included. The share of Pension Commutation from 01.08.2013 to 31.12.2016 amounting to Rs. 3,21,791 was remitted from KMC and released through two cheques dated 12 August 2025: Rs. 2,00,000 (Cheque No. 81552560) and Rs. 1,21,791 (Cheque No. 81552558).

7. In the next hearing held on 15.10.2025. The complainant demanded priority calculation of pensionary arrears and inclusion in List 'B'. KDA officials advised him to coordinate with the auditor to sort out calculations and to expedite preparation of the list in accordance with FIFO so that all retirees are treated fairly.

8. The Accounts Officer (Fund), vide letter dated 14.10.2025, submitted that the calculation of Mr. Atta Muhammad Memon's Contributory Provident (CP) Fund as under:

Year	Compulsory Deduction	Rate of Interest	Accrued Interest	Progressive Total
2016-17	Rs 65,352	12%	Rs 1,950.96	Rs 67,302.96
2017-18	Rs 1,18,433		Rs 15,633.02	Rs 2,01,368.98
2018-19	Rs 1,23,510		Rs 32,140.76	Rs 3,57,019.74
2019-20	Rs 1,26,954		Rs 51,042	Rs 5,35,016.45
2020-21	Rs 1,09,982		Rs 70,168.42	Rs 7,15,166.00

9. The complainant vide his letter dated 11.02.2026 submitted that, following the intervention of this Office, KDA has calculated certain post-retirement benefits, including LPR, CPF, and Pension Commutation, and facilitated release of remitted pension commutation amounts from KMC and PHED. However, he stated that his Contributory Provident Fund (CPF) has been calculated only for the repatriation period (2016–2021), which is incorrect, and should be calculated in the same manner as pension contribution. He requested a personal hearing to present relevant facts, noting that LPR up to retirement was released to 351 similarly placed employees, but he was deprived of the same. He also challenged KDA's refusal to include his name in List 'B', arguing that inclusion must be based on actual retirement date (31.03.2021) and not administrative delays. In view of the above, he respectfully prayed that KDA may be directed to recalculate his CPF, include his name in List 'B', and release his pending LPR dues in parity with other similarly placed retirees.

FINDINGS

10. I have examined the case file and perused correspondence, reports and rejoinders etc., and observed that:

- i. The complainant, Mr. Atta Muhammad Memon, retired from the Karachi Development Authority (KDA) on 31.03.2021 as Superintending Engineer (BS-19) and was issued Pension Book No. 7721. He claimed that despite the lapse of over three and a half years, his post-retirement benefits, including encashment of Leave Preparatory to Retirement (LPR), Contributory Provident Fund (CPF), Pension Commutation, and arrears of residual pension, had neither been calculated nor released.
- ii. Records and submissions reveal that the delay in processing LPR was due to its receipt after finalization of liabilities in September 2022. The complainant's pension commutation amount could not be finalized earlier because of pending transfer of his KMC pension contribution to KDA.
- iii. The complainant was repatriated from the Public Health Engineering Department, Government of Sindh, to KDA in 2015, along with similarly placed officers. Evidence as furnished by complainant indicates that other officers, such

as Mr. Abdul Razak Quraishi, received all post-retirement benefits, whereas Mr. Ali Murad Abro's CP Fund remains unpaid due to insufficient funds. The complainant's KMC contribution of Rs. 3,21,791 has been transferred to KDA.

- iv. KDA officials have calculated the complainant's post-retirement dues as follows: LPR Rs. 13,69,320 (Rs. 100,000 paid; Rs. 12,69,320 outstanding), CPF Rs. 7,15,566 (unpaid), and Pension Commutation Rs. 30,21,826 (unpaid), totaling Rs. 51,06,712, of which Rs. 50,06,712 remains outstanding. Two cheques amounting to Rs. 3,21,791 have been released in respect of pension commutation.
- v. The complainant's CPF was calculated for the repatriation period (2016–2021). However, he contends it should reflect the entire period of service contribution in line with similarly placed officers. The complainant's request for inclusion in List 'B' cannot be granted as the list was frozen on 20.09.2023; only encashment of LPR received before the freeze is included.
- vi. Multiple hearings and correspondence indicate that KDA has made partial payments and is willing to coordinate with the complainant for final calculation of CPF and arrears. The delay in disbursement of post-retirement benefits has caused the complainant financial hardship and a sense of inequity compared to similarly placed retirees.
- vii. It is evident that the complainant's post-retirement dues are legitimate, have been partially calculated, and are pending due to administrative and procedural delays rather than any lack of entitlement on his part. KDA is required to finalize all calculations accurately and release all pending dues without further delay.

DECISION

11. In view of the above and in exercise of the powers conferred under Section 11 of the Establishment of the Office of Ombudsman for the Province of Sindh Act, 1991 (as amended up to date), it is directed that the Karachi Development Authority (KDA) shall immediately finalize and release all post-retirement benefits of Mr. Atta Muhammad Memon, including encashment of Leave Preparatory to Retirement (LPR), Contributory Provident Fund (CPF), Pension Commutation, and arrears of residual pension, ensuring that his CPF is recalculated in accordance with his entire period of service contribution and in parity with similarly placed retirees, including any pending amounts transferred from the Karachi Metropolitan Corporation and Public Health Engineering Department, and provide him a detailed statement of the calculation; all dues shall be disbursed promptly, without being affected by prior administrative delays, and KDA shall submit a compliance report to this Office within fifteen (15) days of completing the disbursement, failing which it shall be liable to action under the provisions of the Ombudsman Act.

Given under my hand and seal of the office



Sd/-
(Muhammad Sohail Rajput)
Sitara-e-Imtiaz. PAS
Ombudsman Sindh

Karachi, dated 21st-05, 2026